Republic of the Philippines
COMMISSION ON AUDIT
Regional Office No. 20, Province of Salimbayan

AUDIT OBSERVATION MEMORANDUM (AOM) No. 2026-007

Municipality of Tumanaw, Calendar Year 2025. Date: 20 April 2026.

To: The Municipal Mayor, Municipality of Tumanaw
Subject: Hauling contracts billing the same trucks

OBSERVATION. The Municipality of Tumanaw paid Mabansag Hauling Svcs., Inc. under Contract No. TMN-SWM-2025-009 (Php 3,720,000.00) for four trucks, February 2025 to January 2026. The Municipality of San Eladio contracted Mabansag Hauling Services under Contract No. SEL-SWM-2025-014 (Php 4,860,000.00) for four trucks, January to December 2025. Both contracts list the same four trucks, body nos. MHS-03, MHS-05, MHS-07 and MHS-09, for overlapping months.

SYNTHETIC: BARGHEST demo data. Fictional.

CRITERIA. Payments for services should be supported by evidence that the services were rendered for the paying local government.

CONDITION. A test check of trip tickets for February 2026 shows the same trucks logged in both municipalities on the same days at overlapping times.

RECOMMENDATION. Management is requested to explain the basis of the payments and to submit the supporting trip tickets.

Management is requested to comment within fifteen (15) calendar days from receipt of this memorandum. This memorandum is an audit observation and is not a finding of fraud.

Prepared by: Gloria D. Anunciacion, Audit Team Leader
Reviewed by: Reynaldo J. Soriano, Supervising Auditor

SYNTHETIC: BARGHEST demo data. Fictional.